

EVG1015 - Rajesh & Anita Iyer - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Rajesh V. Iyer (XXX-XX-2231) / Anita K. Iyer (XXX-XX-7719) - resident aliens (green card)
Address	16420 NE 95th St, Redmond, WA 98052
Filing status	Married filing jointly
Dependents	Vikram R. Iyer (son, 2019) - CTC. Anita's parents NOT dependents (nonresident aliens, not US/Canada/Mex)
Digital assets question	No
Forms included	1040, Schedules 2, 3, B (Part III: Yes / India), 8812, Form 1116 (passive), Form 8938, Form 8621 x 3, Form 8
Extension	Form 4868 filed 04/10/2026 (no payment - refund expected)
State	None - Washington has no individual income tax (no WA capital gains excise - no sales)
Filing method	E-file 1040 (8879 signed 09/21/2026), accepted 09/23/2026; direct deposit Chase ****2046

Key figures	Amount
Total income (1040 line 9)	348,527
Adjusted gross income (line 11)	348,527
Deduction (line 12e) - Standard	31,500
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	317,027
Total tax (line 24)	60,827
Total payments (line 33)	62,622
REFUND (line 35a)	1,795

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	340,000
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	340,000
2a	Tax-exempt interest	0
2b	Taxable interest	8,527
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	0
9	Total income	348,527
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	348,527
12e	Standard deduction or itemized deductions (Standard)	31,500
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	31,500
15	Taxable income	317,027
16	Tax	61,780
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	61,780
19	Child tax credit / credit for other dependents (Schedule 8812)	2,200
20	Amount from Schedule 3, line 8	310
21	Add lines 19 and 20	2,510
22	Subtract line 21 from line 18	59,270
23	Other taxes, including self-employment tax, from Schedule 2, line 21	1,557
24	Total tax	60,827
25a	Federal income tax withheld - Form(s) W-2	62,500
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	122
25d	Total withholding	62,622
26	2025 estimated tax payments and amount applied from 2024 return	0
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	62,622
34	Amount overpaid	1,795
35a	Refund	1,795
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	JPMorgan Chase Bank, N.A.	1,642
1.2	HDFC Bank Ltd, India - NRE deposits (INR 420,000 / 87.147)	4,819
1.3	State Bank of India - NRO deposits (INR 180,000 / 87.147)	2,065
2	Total interest	8,527
4	Taxable interest (to Form 1040, line 2b)	8,527
6	Ordinary dividends (to Form 1040, line 3b)	0
7a	Foreign financial account at any time in 2025? / FBAR required?	Yes / Yes
7b	Country	India
8	Grantor of / transferor to a foreign trust?	No

Form 1116

Line	Description	Amount
summary	Category: passive; foreign taxes 310; foreign-source TI 6,263; limitation 1,220	310

Schedule 8812

Line	Description	Amount
4	Number of qualifying children under 17 with SSN	1
6	Number of other dependents	0
8	Tentative credit	2,200
10-11	Phase-out reduction (MAGI 348,527 vs 400,000)	0
12	Credit after phase-out	2,200
14	Nonrefundable CTC/ODC (to Form 1040 line 19)	2,200
27	Additional child tax credit (to Form 1040 line 28)	0

Schedule 3

Line	Description	Amount
1	Foreign tax credit	310
8	Total nonrefundable credits (to Form 1040, line 20)	310

Form 8959

Line	Description	Amount
7/13	Additional Medicare Tax (Medicare wages 387,000; SE 0; threshold 250,000)	1,233
24	Additional Medicare Tax withheld by employer(s)	122

Schedule 2

Line	Description	Amount
11	Additional Medicare Tax (Form 8959)	1,233
12	Net investment income tax (Form 8960)	324
21	Total other taxes (to Form 1040, line 23)	1,557

Form 8960

Line	Description	Amount
8	Total investment income	8,527
12	Net investment income	8,527
13-16	MAGI 348,527 over threshold 250,000	98,527
17	Net investment income tax	324

Form 1116 detail - foreign tax credit (passive, India)

Form 1116 - passive category income - India	INR	USD
NRE interest - calendar 2025 (Q1 from FY24-25 cert + Q2-Q4 from FY25-26 cert) @ 87.147	420,000	4,819
NRO interest - calendar 2025 @ 87.147	180,000	2,065
Line 1a gross foreign-source income		6,885
Line 3a standard deduction apportioned: 31,500 x 6,885 / 348,527 gross income		622
Line 7 net foreign-source taxable income		6,263
TDS actually withheld on NRO interest @ 31.2% (Form 16A)	56,160	644
Creditable: limited to US-India treaty rate 15% (Art. 11(2)) - Reg. 1.901-2(e)(5)	27,000	310
Excess TDS (not a creditable tax - refund claim in India via ITR / Form 10F + TRC)	29,160	335
Line 21 limitation: US tax x (FSTI / taxable income)		1,220
Line 33 / Schedule 3 line 1 foreign tax credit		310
De minimis election (no Form 1116) NOT available: Indian bank income is not reported on a qualified payee statement		

FinCEN Form 114 (FBAR) - 2025 - accounts and maximum values

#	Financial institution (India)	Account	Type	Max value 2025 (INR)	Max value (USD @ 89.870)	12/31/2025 (USD)
1	HDFC Bank Ltd, Mumbai	NRE SB ****1180	Bank	3,480,000	38,723	35,741

#	Financial institution (India)	Account	Type	Max value 2025 (INR)	Max value (USD @ 89.870)	12/31/2025 (USD)
2	HDFC Bank Ltd, Mumbai	NRE FD ****1180-FD01/02	Bank	5,000,000	55,636	55,636
3	State Bank of India, Chennai	NRO SB ****0457	Bank	612,000	6,810	4,434
4	State Bank of India, Chennai	NRO FD ****0457-FD1	Bank	2,400,000	26,705	26,705
5	Sahyadri Bluechip Equity Fund (AMC; RTA CAMS/KFintech)	Folio SBE/88104512	Securities/Other (mutual fund)	2,950,000	32,825	32,047
6	Narmada Flexi Cap Fund (AMC; RTA CAMS/KFintech)	Folio NFC/40517733	Securities/Other (mutual fund)	2,610,000	29,042	28,263
7	Kaveri Short Duration Debt Fund (AMC; RTA CAMS/KFintech)	Folio KSD/77120918	Securities/Other (mutual fund)	1,160,000	12,908	12,017
	Aggregate (all jointly owned - one FBAR by Rajesh; Anita signs Form 114a)				202,648	194,843

Form 8938 - Statement of Specified Foreign Financial Assets

Form 8938 - MFJ living in US: threshold \$100,000 at year end or \$150,000 at any time	Amount (USD)
Part V - 4 deposit accounts (HDFC NRE SB, NRE FD; SBI NRO SB, NRO FD) - max value	127,874
Part VI / Part IV - 3 mutual fund holdings (PFICs; reported on Form 8621 - counted toward threshold, excepted from duplicate detail: 'Number of Forms 8621: 3')	74,775
Total value at 12/31/2025 (all specified foreign financial assets)	194,843
Part III - income from these assets: interest (Sch B) - NRE + NRO	6,885
Part III - foreign tax credited (Form 1116)	310
Exchange rate: Treasury Reporting Rate 12/31/2025, INR 89.870 per USD (assumed - see notes)	

Form 8621 - PFIC annual information (3 Indian mutual funds)

Form 8621 (one per fund) - Part I, section 1291 fund, no elections	Folio	Acquired	Units	Value 12/31/2025 (USD)	Line 2 box
Sahyadri Bluechip Equity Fund - Direct Plan - Growth	SBE/88104512	2017-08-10	41,250.110	32,047	(a) \$0-50,000
Narmada Flexi Cap Fund - Regular Plan - Growth	NFC/40517733	2018-02-19	30,012.448	28,263	(a) \$0-50,000
Kaveri Short Duration Debt Fund - Direct - Growth	KSD/77120918	2019-01-07	36,860.071	12,017	(a) \$0-50,000

Form 8621 (one per fund) - Part I, section 1291 fund, no elections	Folio	Acquired	Units	Value 12/31/2025 (USD)	Line 2 box
Aggregate PFIC value \$72,327 > \$50,000 (MFJ annual-filing exemption, Reg. 1.1298-1(c)(2)(i)(A)) -> Part I filing required for each fund. Part V: no distributions, no dispositions -> no excess distribution, no section 1291 tax or interest. No QEF (no PFIC Annual Information Statement) / no MTM election made (see notes).					

Form 3520 - Part IV foreign gift (filed separately)

Form 3520 Part IV - gifts from a nonresident alien individual (lines 54-55)	Detail
Filer	Anita K. Iyer, jointly with spouse Rajesh V. Iyer (joint 1040 filers)
Line 54 date / description / FMV	06/18/2025 - cash wire INR 13,000,000 from father (Srinivasan Krishnan, India) - \$150,812.53 (USD actually credited)
Threshold	More than \$100,000 from a nonresident alien individual -> reporting required (not income)
Due date / filing	Due with the 2025 income tax return including extensions (10/15/2026); mailed separately to IRS Ogden (not part of the e-file) - certified mail 09/23/2026
Penalty if not filed	5% of the gift per month, up to 25% (IRC 6039F)